



INDEPENDENT SECURITY REVIEW

August 18, 2026

LI.FI

FeeForwarder (v2.0.0)

Independent Security Review

SECURITY RESEARCHER

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REPORT PREPARED BY

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1 About Researcher

Sujith Somraaj is a distinguished security researcher and protocol engineer with over eight years of comprehensive experience in the Web3 ecosystem.

In addition to working as a Lead Security Researcher at Spearbit, Sujith is also the security researcher and advisor for leading bridge protocol LI.FI and also is a former founding engineer and current security advisor at Superform, a yield aggregator with over \$170M in TVL.

Sujith has experience working with protocols / funds including Coinbase, Solana Foundation, Layerzero, Edge Capital, Berachain, Optimism, Ondo, Sonic, Monad, Blast, ZkSync, Decent, Drips, SuperSushi Samurai, DistrictOne, Omni-X, Centrifuge, Superform-V2, Tea.xyz, Paintswap, Bitcorn, Sweep n' Flip, Byzantine Finance, Variational Finance, Satsbridge, Rova, Horizen, Earthfast, Angles and multiple other protocols.

Learn more about Sujith on sujithsomraaj.xyz or on cantina.xyz

2 Disclaimer

Note that this security audit is not designed to replace functional tests required before any software release, and does not give any warranties on finding all possible security issues of that given smart contract(s) or blockchain software. i.e., the evaluation result does not guarantee against a hack (or) the non existence of any further findings of security issues. As one audit-based assessment cannot be considered comprehensive, I always recommend proceeding with several audits and a public bug bounty program to ensure the security of smart contract(s). Lastly, the security audit is not an investment advice.

This review is done independently by the reviewer and is not entitled to any of the security agencies the researcher worked / may work with.

3 Scope

Target	src/Periphery/FeeForwarder.sol (v2.0.0)
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4 Risk classification

Severity level	Impact: High	Impact: Medium	Impact: Low
Likelihood: high	Critical	High	Medium
Likelihood: medium	High	Medium	Low
Likelihood: low	Medium	Low	Low

4.1 Impact

Rating	Definition
High	leads to a loss of a significant portion (>10%) of assets in the protocol, or significant harm to a majority of users.
Medium	global losses <10% or losses to only a subset of users, but still unacceptable.
Low	losses will be annoying but bearable — applies to things like griefing attacks that can be easily repaired or even gas inefficiencies.

4.2 Likelihood

Rating	Definition
High	almost certain to happen, easy to perform, or not easy but highly incentivized
Medium	only conditionally possible or incentivized, but still relatively likely
Low	requires stars to align, or little-to-no incentive

4.3 Action required for severity levels

Severity	Required action
Critical	Must fix as soon as possible (if already deployed)
High	Must fix (before deployment if not already deployed)
Medium	Should fix
Low	Could fix

5 Executive Summary

Over the course of 2 hours in total, LI.FI engaged with the researcher to audit the contracts described in section 3 of this document ("scope").

This is an differential review, and hence the scope is limited only to the changes introduced in the audit commit.

In this period of time a total of **1 issues** were found.

Project Summary

Project Name	LI.FI
Repository	lifinance/contracts
Commit	22b3586e
Audit Timeline	August 17, 2026
Methods	Manual Review
Documentation	High
Test Coverage	High

Issues Found

Critical Risk	0
High Risk	0
Medium Risk	0
Low Risk	0
Gas Optimizations	0
Informational	1
Total Issues	1

6 Findings

6.1 Informational

6.1.1 FeesForwarded events can be spammed through zero-value reentrancy

CONTEXT: [FeeForwarder.sol#L125](#)

DESCRIPTION: `forwardNativeFees` permits zero-value distributions while forwarding all available gas to recipients. A recipient can recursively reenter with zero-value distributions, causing multiple `FeesForwarded` events without transferring fees. Because the event lacks caller provenance, indexers cannot distinguish Diamond-originated activity from arbitrary or recursively generated events.

RECOMMENDATION: Add an indexed `caller` field to `FeesForwarded` and emit `msg.sender`, allowing indexers to filter for known Diamond addresses.

LI.FI: Acknowledged. Indexers can filter zero-amount distributions off-chain; an indexed caller costs ~375 gas/call (~6× the fix) for no security benefit, while contract is optimized for minimal cost.

RESEARCHER: Acknowledged.